

cities offer cost advantages, Tier I hubs deliver stronger value realisation via access to talent.”

Many of these GCCs are high-skill centres built around AI, product engineering or cybersecurity with modular infrastructure, pre-built processes and shared services. Headcount in India is no longer a symbolic “big bet” but a variable tightly tied to business priorities.

For DAMAC Group, India’s appeal lies in marrying talent depth with global ambitions. In November 2025, the company launched DAMAC Shared Services India (DSSI), its GCC, with a multi-phased hiring strategy across Noida and Pune; it is expected to host more than 100 staff by 2026.

“Professionals in our India centres bring advanced skills in technology AI and business services. DSSI supports core business functions like finance, operations, sales, marketing, HR, commercial and digital. AI and technology adoption are our key focus areas,” says Rajeev Chaturvedi, vice president—Capability Centre, HR & Operations International, DAMAC Group.

“The focus is not on cost arbitrage,” says Chaturvedi. “The real value lies in the exceptional talent pool in India.”

Consultants see this shift to small centres play out in mid-market firms across regions.

“A compact model provides the flexibility to build high-value, niche capabilities and scale up only when it matters. This avoids the overhead of a large infrastructure-heavy centre,” says Arindam Sen, partner and GCC sector leader, technology, media and entertainment and telecommunications, EY India.

Sen describes the economics as “cost-smart, not just low-cost.”

SMALL IS BIG

• A slew of smaller capability centres have been set up in recent years

Name	Year	Location	No. of People Employed
Flutter Entertainment	2023	Hyderabad	260
Arch Capital	2025	Hyderabad, Pune, Trivandrum	250
Rx Benefits	2024	Hyderabad	80
Meltwater	2025	Hyderabad	60
Sonatype	2025	Hyderabad	50
Deepwatch	2025	Bengaluru	50

NOTE HEADCOUNT AS OF DECEMBER 2025. THE LIST IS NOT EXHAUSTIVE BUT INDICATIVE **SOURCE** ANSR

Small GCCs save on real estate and operational costs—especially in Tier II cities—while also benefiting from lower Cloud and digital infrastructure costs.

“Leaner governance reduces compliance, HR and administrative overheads as well,” adds Sen.

The mid-to-small global companies want to transform themselves with AI and, hence, focus on niche or nano centres. They are viewing India as a strategic extension of their innovation and engineering ecosystems.

WHY NOT OUTSOURCE?

The geographic mix is shifting, too. While US firms still dominate, Europe is surging. According to NASSCOM, more than 45% companies that set up new GCCs in 2024 were from Europe, with Germany accounting for about

28% of that cohort.

A Stuttgart-based manufacturing firm, for instance, opened a digital engineering centre in Bengaluru with a 75-member team just 18 months ago. What began as a cautious move has evolved into a long-term innovation partnership, with India driving simulation, automation and AI-enabled operations for plants across continents.

Several companies are following a similar script. Deutsche Börse Group, one of the world’s leading stock exchange operators, opened a niche GCC in Hyderabad in August 2025. Independent, family owned German company Festo, specialising in automation technology and technical education, has launched an AI-managed product simulation unit in Bengaluru.

Healthcare IT company